SEQUOIA CAPITAL ANALYSIS • SEPTEMBER 2023

Generative AI's Act Two

From Technology Hammer to Real Value

For venture capital investors and startup founders evaluating generative AI opportunities

Narrative arc

01 **Convergence**

02 **Commercial traction**

03 **Retention gap**

04 **Customer-back model**

>$1B
startup revenue reached in months, not years

14%
AI-first median retention

51%
incumbent median retention

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Six Decades of Technological Progress Converged to Enable Generative AI

Six decades of Moore's Law

compute horsepower to process exaflops of data

Four decades of the internet

trillions of tokens of training data

Two decades of mobile + cloud

a supercomputer in every human's palm

ChatGPT launch as spark

A Cambrian explosion of innovation not seen since the early internet

GenAI Startups Surpassed $1B Revenue Faster Than SaaS Ever Did

Despite skepticism, generative AI had a more successful commercial start than SaaS.

>$1B
revenue from generative AI startups alone

months
timeframe to reach the milestone

years
time SaaS took to reach the milestone

ChatGPT

Fastest-growing application in history; strong PMF among students and developers

Midjourney

Reported hundreds of millions in revenue with a team of just 11 people

Character.ai

Popularized AI entertainment and companionship; 2-hour average session time

Commercial demand is real — but revenue traction does not automatically imply retention or sustainable advantage.

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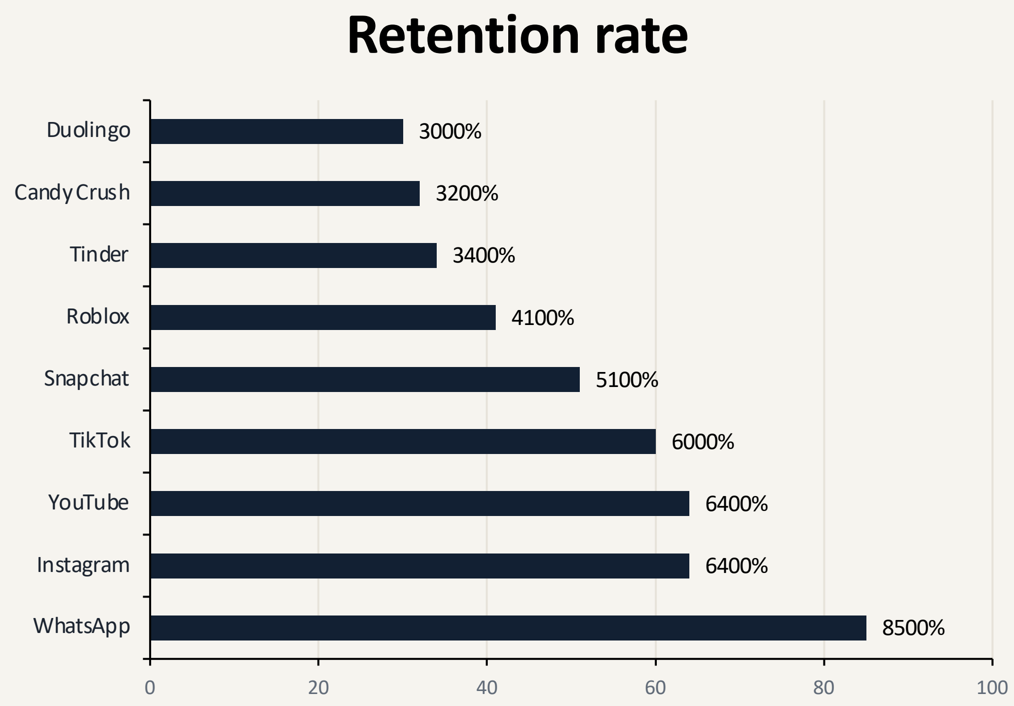
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

51%
incumbent median

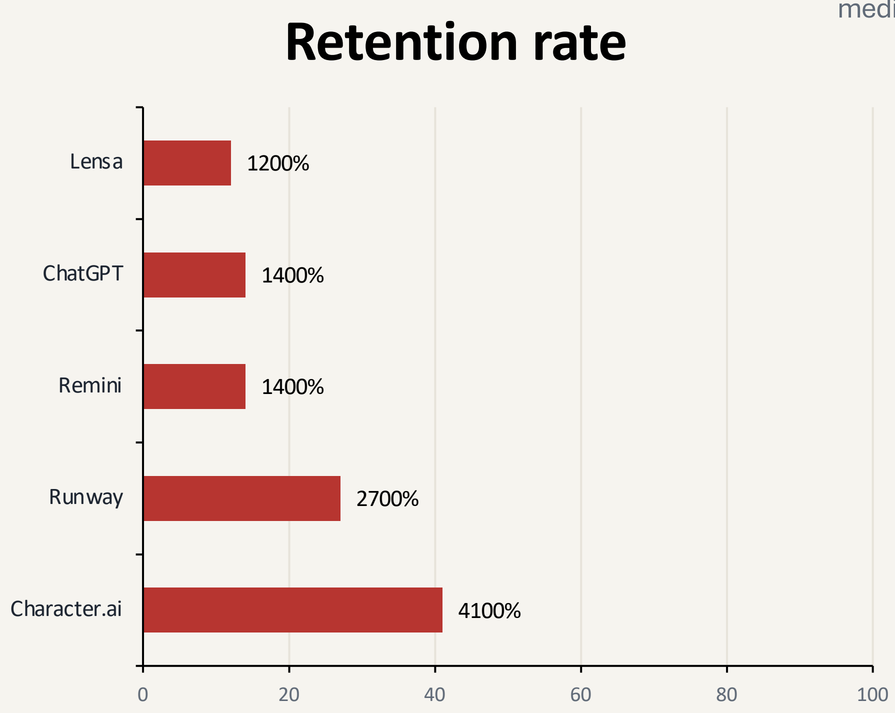
14%
AI-first median

Mobile app retention exposes the gap Act Two must close.

Incumbents



AI-first companies



3.6x disadvantage

AI-first median retention trails incumbents despite standout outlier Character.ai at 41%.

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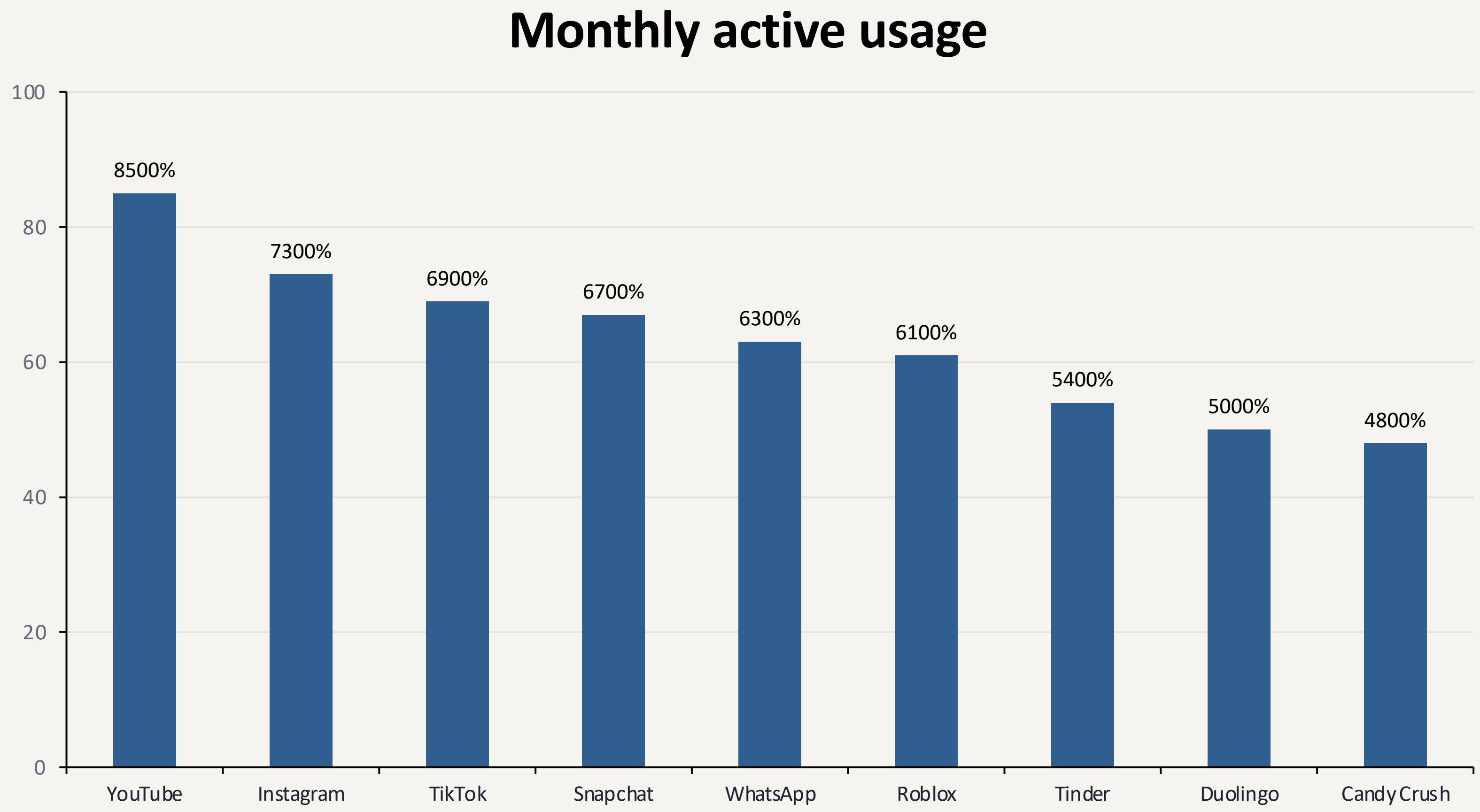
YouTube Leads Incumbents at 85% Monthly Active Usage



63%

median monthly active usage across incumbent benchmark set

The incumbent bar is not merely retention; usage benchmarks show deeply habituated products.

- YouTube leads at 85% monthly active usage
- All listed incumbents remain at 48% or above
- AI builders compete against established habit loops

Act 1 Was Technology-Out; Act 2 Is Customer-Back

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ACT 1

Technology-out

- Foundation models as the entire solution
- Novelty apps and lightweight demos of cool technology
- Thin wrappers around the “hammer”
- Often lacked stickiness and showed poor retention

The starting question: “What can this model do?”

shift

ACT 2

Customer-back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that improve workflows and outputs
- Multi-modal workflows and end-to-end problem solving
- Exemplars: Harvey, Glean, Character and Ava

The starting question: “What human problem is worth solving end-to-end?”

MARKET STRUCTURE

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Market Map Reorganized by Use Case, Not Model Modality

Old lens: modality

Text

Image

Code

Technology hammer: categorize products by what the model produces.

Act 2 →

New lens: use case

Harvey
legal

Glean
enterprise search

Character
companionship

Ava
companionship

Actual value delivery: organize around the human problem and increasingly multi-modal workflows.

The market-map shift mirrors the broader transition from Act 1 demos to Act 2 solutions.

IMPLICATIONS

Key Takeaways: What Separates Winners in Act Two

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1	**Retention is the critical challenge**	AI-first apps show 14% median retention vs. 51% for incumbents.
2	**Models are components**	Foundation models should be a piece of the product, not the whole product.
3	**Workflow integration wins**	Multi-modal, workflow-integrated solutions and new editing interfaces build stickiness.
4	**Demand is already proven**	>$1B in startup revenue reached in months shows real commercial demand.
5	**Solve end-to-end human problems**	Customer-back companies will define Act Two.

Builder/investor test: does the company convert model capability into durable human value?